**IN THE NATIONAL COMPANY LAW TRIBUNAL,**
**NEW DELHI COURT III**

**Item No. 02**
CA.CAA-43(ND)/2023

**IN THE MATTER OF:**
Uppal Projects Pvt Ltd. & Uppal Housing Pvt Ltd. **.....APPLICANT/PETITIONER**

**SECTION**
**U/s 230/232** **Order Pronounced on 14.06.2023**

**CORAM:**
**SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)**

**SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)**

**PRESENT:**
For the Applicant :
For the Respondent :

**ORDER**

Order pronounced in open court vide separate sheets. CA.CAA-43(ND)/2023 is **allowed.**

Sd/-
**(ATUL CHATURVEDI)**
**MEMBER (TECHNICAL)**

Sd/-
**(BACHU VENKAT BALARAM DAS)**
**MEMBER (JUDICIAL)**

**BEFORE THE NATIONAL COMPANY LAW TRIBUNAL**
**COURT NO. III, NEW DELHI**

**CA (CAA)- 43/(ND)/2023**

**IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013**

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

**In the matter of Scheme of Arrangement of**

**UPPAL PROJECTS PVT LTD**

(Applicant Company-1 /Transferor Company)

WITH

**UPPAL HOUSING PVT LTD**

(Applicant Company-2/Transferee Company)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

**CORAM:**

**SH. BACHU VENKAT BALRAM DAS, HON'BLE MEMBER (JUDICIAL)**

**SH. ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)**

**MEMO OF PARTIES**

**1. M/S UPPAL PROJECTS PVT LTD**

Company registered under the Companies Act, 1956, having its Registered Office at**:**
1st Floor, East Tower,
NBCC Place, Bhishma Pitamah Marg,
Pragati Vihar, Lodhi Road,
New Delhi-110003

**...Transferor Company/Applicant Company-1**

**WITH**

**2. M/S UPPAL HOUSING PVT LTD**

Company registered under the Companies Act, 1956, having its Registered Office at**:**
1st Floor, East Tower,
NBCC Place, Bhishma Pitamah Marg,
Pragati Vihar, Lodhi Road,
New Delhi-110003

**...Transferee Company/Applicant Company-2**

***Order Delivered on: 14.06.2023***

**For the Applicant:** Mr. Kartikeya Goel, Advocate.

**O R D E R**

**Per- Atul Chaturvedi, Member (Technical)**

1. This application (CA (CAA)-43(ND)/2023) have been jointly filed by the applicant companies herein, Uppal Projects Pvt Ltd ("Transferor Company-1") with Uppal Hosuing Pvt Ltd ("Transferee Company-2")under section 230-232

of Companies Act, 1956, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement by way of Amalgamation (hereinafter referred to as the "SCHEME") proposed between the applicants.

2. Affidavits in support of the above applications have been sworn by Mr. Okesh Singh, Director of Transferor Company No. 1 and Mr. Abhishek Kumar Srivastava, Director of the Transferee Company being the authorized signatory of the Applicant Companies, who have been authorized vide board resolutions dated 04.05.2023 for all the Applicant Companies and have been duly filed, along with the application.

3. The Applicant Company No. 1/Transferor Company –Uppal Projects Pvt Ltd bearing Corporate Identification No. (CIN): U70109DL2006PTC154035 was incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 18th September, 2006, having its registered office at 1st Floor, East Tower, NBCC Place, Bhishma Pitamah Marg, Pragati Vihar, Lodhi Road, New Delhi-110003. The Authorized Share Capital of the Applicant Company No. 1 is Rs. 17,50,00,000 (Rupees Seventeen Crore Fifty Lakhs Only) divided into 1,75,00,000 (One Crore Seventy-Five Lakhs) equity shares of Rs. 10/- (Rupees Ten) each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 1,00,000/- (Rupees One Lakhs) divided into 10,000 (Ten Thousand) equity shares of Rs. 10/- (Rupees Ten) each, fully paid-up.

4. The Applicant Company No. 2/Transferee Company – M/s Uppal Housing Pvt Ltd bearing Corporate Identification No. (CIN): U74899DL1991PTC043274 was incorporated under the provisions of the Companies Act, 1956, as a public limited company vide Certificate of Incorporation dated 27.02.1991,

having its registered office at 1st Floor, East Tower, NBCC Place, Bhishma Pitamah Marg, Pragati Vihar, Lodhi Road, New Delhi-110003. The Authorized Share Capital of the Applicant Company No. 2 is Rs. 56,52,00,000 (Rupees Fifty-Six Crore Fifty-Two Lakhs) divided into 5,63,20,000 (Five Crore Sixty-Three Lakhs Twenty Thousand) Equity Shared of Rs. 10 each aggregating to Rs. 56,32,00,000; 16,000 Equity Shares of Rs. 100 each aggregating to Rs. 16,00,000; and Rs 4,00,000. The present issued, subscribed and paid-up share capital of the Company is Rs. 21,93,18,750 divided into 2,19,31,875 Equity shares of Rs. 10 each.

5. The Transferor Company as well as the Transferee Company have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts for the Financial 31.03.2022.

6. The Transferor Company and Transferee Company, vide their respective meeting of the Board of Directors held on 9th February 2023 have unanimously approved the proposed Scheme of Amalgamation.

7. The applicant companies have submitted as under: -

| **Company** | **No.of Share Holders** | **Consent Given** | **No. of Secured Creditors** | **Consent Given** | **No.of Un-Secured Creditors** | **Consent Given** |
|---|---|---|---|---|---|---|
| Transferor Company | 2 | All | 2 | 1<br>94.54%<br>Of total value | 2 | 1<br>99.78%<br>of total value |

| | | | | | | |
|---|---|---|---|---|---|---|
| Transferee Company | 3 | All | 3 | 2<br>90.29% of total value | 4 | All |

8. It has been stated that the Transferor Company and the Transferee Company had some 'Statutory and Other dues' which have either been paid in full or being provisional in nature, are not due for payment as on the date of this Application. Certificates from Chartered Accountants confirming same was enclosed.

9. It is pertinent to note that the consent affidavits obtained are more than the requisite statutory majority of 90% of total value required to approve the Scheme of Amalgamation in terms of the provisions of Section 230(9) of the Companies Act, 2013.

10. The Applicant Companies have further placed on record the certificate of statutory auditors regarding conformity of accounting treatment in the scheme is in consonance with Section 133 of the Companies Act, 2013.

11. That the management wishes to amalgamate the Transferor Companies with the Transferee Company for following benefits: -

    i) Both the Transferor and Transferee Companies are closely held un-listed Group Companies under common management and control. The proposed amalgamation of the Transferor Company with the Transferee Company would result in business synergy, consolidation of the Group Companies and pooling of their resources into a single entity.

    ii) The Transferee Company is the flagship Company of the Group, engaged in real estate business. The Transferor Company is also engaged in real estate. It would be advantageous to combine the

activities and operations of both these Companies in a single company, to grow the business in an efficient manner, achieve operational synergies and benefits from economies of scale by combining the Transferor company with Transferee Company by way of amalgamation; and build strong capability to effectively meet future challenges in a competitive business environment. The proposed amalgamation will enable integration of respective business activities of the Transferor Company with those of the Transferee Company.

iii) The proposed Amalgamation would result in business synergy, pooling of physical, financial and human resource of these Companies for the optimal utilization of these factors in the combined entity. The proposed scheme of Amalgamation will further strengthen the financial position of the Transferee Company.

iv) The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of redundancies, reduction of overheads, optimal utilization of financial, human and other resources and enhancement of overall business efficiency. The proposed Scheme of Amalgamation will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

v) The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present are required to be made separately by the Transferee Company as well as by the Transferor Company.

vi) The proposed Amalgamation will streamline and simplify the shareholding structure.

vii) The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

viii) The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

12. Taking into consideration the submissions and the documents filed therewith, the following directions are issued forthwith in respect of convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices as follows:

**I. <u>In relation to the Transferor Company-1: (UPPAL PROJECTS PVT LTD)</u>**

**a) With respect to Equity shareholders:** In view of consent affidavits from 2 equity shareholders, having 100% of voting share, convening the meeting of shareholders/members is dispensed with.

**b) With respect to Secured Creditors:** In view of consent affidavits from 1 Secured Creditor, having 94.54% of voting share, convening the meeting of Secured Creditor is dispensed with.

**c) With respect to Unsecured Creditors:** In view of consent affidavits from 1 Unsecured Creditor, having 99.78% of voting share, convening the meeting of Unsecured Creditor is dispensed with.

**II. <u>In relation to the Transferee Company:(UPPAL HOUSING PVT LTD)</u>**

**a) With respect to Equity shareholders:** In view of consent affidavits from 3 equity shareholders, having 100% voting share, convening the meeting of shareholders/members is dispensed with.

**b) With respect to Secured Creditors:** In view of consent affidavits from 2 Secured Creditor, having 90.29% of voting share, convening the meeting of Secured Creditor is dispensed with.

c) **With respect to Unsecured Creditors:** In view of consent affidavits from all the 4 Unsecured Creditor, convening the meeting of Unsecured Creditor is dispensed with.

13. Notice of this application shall be served on the following:

i. Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

ii. Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

iii. Official liquidator, Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi-110001;

iv. Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

v. Any other sectoral regulators required to be served.

The application stands allowed on the aforesaid term and accordingly disposed of.

**Sd/-** **Sd/-**

**(ATUL CHATURVEDI)**
**MEMBER (TECHNICAL)**

**(BACHU VENKAT BALRAM DAS)**
**MEMBER (JUDICIAL)**